MEETING DATE June 24, 2026

ITEM TITLE **RESOLUTIONS OF THE CITY COUNCIL OF THE CITY OF SANTEE PLACING A GENERAL TAX MEASURE ON THE NOVEMBER 3, 2026, GENERAL MUNICIPAL ELECTION BALLOT TO ESTABLISH A TEMPORARY ONE (1) PERCENT GENERAL TRANSACTIONS AND USE (SALES) TAX FOR 10 YEARS**

DIRECTOR/DEPARTMENT Wendy Kaserman, City Manager

BACKGROUND

As part of the development of the Fiscal Year (FY) 2025-26 Capital Improvement Program (CIP) in late spring 2025, the City Council identified the need to develop a comprehensive funding strategy to address the over $327M of unfunded projects in the CIP. Examples of unfunded or underfunded projects in the CIP include the pavement management program, fire stations, bridges, stormdrains, playground replacements and park restroom replacements. At the August 13, 2025, meeting, City Council authorized the then Interim City Manager to contract with TeamCivX to study the feasibility of a local funding measure, specifically a sales tax, and to conduct public outreach and prepare potential ballot materials should the City Council decide to move forward with considering referring a sales tax measure to the ballot. A half-cent sales tax feasibility study was completed in December 2025 and results were presented to the City Council on February 25, 2026. The study found 83% of surveyed residents rated Santee's quality of life as good or excellent, with resident priorities including street maintenance, fire protection, public safety, and improved parks, facilities, and infrastructure. After hearing sample pro and con arguments as part of the feasibility study, about 63% of voters indicated they would definitely or probably support a half-cent measure.

City Council did not place a tax measure on the November 2026 ballot at the February 25, 2026, City Council meeting. Instead, they directed staff to continue public outreach, including working with the Infrastructure Advisory Group formed in summer 2025. Staff also consulted the San Diego County Taxpayers Association to ensure any potential measure includes provisions for fiscal accountability, independent audits and citizen committee oversight.

Following the strong initial survey results and positive initial response to the concept, City officials decided to explore a one cent measure that would make more meaningful progress toward meeting the unfunded infrastructure needs. To test voter sentiment on a one-cent tax, the Council approved a second feasibility study on May 5, 2026, and the results of the study were presented at the June 10, 2026, City Council meeting. After hearing sample pro and con arguments as part of the feasibility study, about 58% of voters indicated they would definitely or probably support a one-cent measure. Resident priorities in the second sales tax feasibility study mirror the feedback received in the first study, as well as information received from residents regarding funding priorities via a mailer sent to all Santee registered voters.

Following discussion on the second feasibility study at the June 10, 2026, Council meeting, the City Council directed staff to bring back an item for Council consideration to place a 10-year one-cent general tax measure on the November 3, 2026 General Municipal Election Ballot,

with a majority of Council voting yes, and Vice Mayor Hall voting no. Under State law, the City Council does not have the authority to adopt an increase to the City's sales tax. A general sales tax increase must be approved by a majority of the registered voters of the City of Santee voting on the measure.

SUMMARY

The City of Santee, like many cities across the region and nation, faces budgetary challenges. As highlighted in the proposed FY 2026-27 budget, costs are increasing in many areas outside of the City's control, the City faces unfunded mandates and we know looking ahead to FY 2027-28, a new contract for law enforcement services is being negotiated that will in all likelihood significantly increase law enforcement costs. This item presents a proposed ballot measure for City Council consideration for placement on the November 3, 2026, General Municipal Election ballot. The measure would provide additional funding to the City to address community priorities identified by the City Council and Santee residents.

The proposal is a temporary, 10-year, one-percent transactions and use (sales) tax ("the Measure"). Although the City's highest priorities include street maintenance, fire protection, public safety, and improvements to parks, facilities, and infrastructure, the Measure is a general tax, meaning revenues may be used for any lawful municipal purpose. Community feedback from feasibility studies identified the following priority areas:

- Keeping streets, sidewalks, parks, and public facilities safe, clean and well-maintained
- Improving roads, intersections, bike lanes, and signals to reduce congestion
- Fixing potholes and paving/maintaining City streets
- Constructing and repairing fire stations, where needed, to improve 911 emergency response and community safety
- Repairing aging infrastructure including stormdrains, pipes, bridges, sidewalks, and public facilities
- Providing quick responses to 911 emergencies
- Providing fire protection and paramedic services
- Removing graffiti, cleaning up piles of trash and litter along streets, sidewalks, and in public areas
- Providing crime prevention and investigations
- Addressing homelessness

While a general tax cannot specify an approved list of projects, these community priorities illustrate what could be addressed. Staff has developed the attached draft 10-year spending plan to show how the City intends to use the additional tax revenue should it be referred to the ballot and approved by voters. However, as previously stated, with a general tax, there is not a specified list of projects or programs the tax will fund. As a general tax, the approval requirement is a simple majority (50%+1) of voters. It is recommended a Citizen Oversight Committee be formed to provide transparency, accountability and public confidence in the use of the funds.

The Citizen Oversight Committee would serve in an advisory role, reviewing annual Independent Audit Reports on Measure revenues and expenditures and presenting findings to the City Council. Members would be appointed by the Mayor and City Council like other boards and commissions and should ideally have experience in municipal finance, accounting, auditing, public works, construction, or project management, though such experience is not required. The members will be residents or representatives of businesses located within the City of Santee and shall not be elected officials or current City employees. While the Citizen Oversight Committee would not have budget authority, it would be a public body governed by the Brown Act, which requires open public meetings, properly noticed and posted agendas, and reports and minutes. Additionally, as discussed by City Council at the June 10, 2026, Council meeting, members appointed to the Committee would complete SB 827 Fiscal and Financial Training in a manner similar to other City officials. The attached ordinance, that would be implemented if the Measure passed, establishes the framework for the Citizen Oversight Committee.

For clear accounting, Measure revenues would be recorded in the General Fund under a separate line item and in order to provide greater transparency, these funds will then be transferred to a fund established for the Measure where all transactions will be accounted for in accordance with generally accepted accounting principles (GAAP).

If approved by voters, staff would prepare an annual spending plan for review by the Citizen Oversight Committee prior to the City Council's annual budget process. The plan would be similar to the draft 10-year spending plan attached to this report and highlight projects being included in the next FY's budget. After Committee review, the plan would be incorporated into the City Manager's proposed budget and subject to approval by the City Council.

Santee's current sales tax rate is 7.75%, consisting of the statewide 7.25% rate and a 0.50% San Diego County TransNet district tax. Of this, the City receives 1%. State law caps local add-on taxes at 2% above the statewide rate and this Measure remains within the statutory cap. Adopting a general-purpose tax of one percent (1%) for 10 years is projected to generate an estimated $140 million in additional revenues over the life of the Measure; with actual revenues determined by economic conditions. Also pursuant to California Revenue and Taxation Code, food items (groceries), prescriptions, certain medical devices, and other "Necessities of Life" items are exempt from sales tax. If approved by the voters, the tax would become operative (state collection) on April 1, 2027, and would remain in effect until March 31, 2037.

The ballot language to be presented to the voters is as follows:

> "To provide funding for City of Santee services and infrastructure, such as fixing streets and potholes; keeping streets, sidewalks, parks and public facilities safe, clean, and well-maintained; repairing/ replacing aging infrastructure and stormdrains; local traffic management; fire protection, paramedic, crime prevention, and 911 emergency response, shall City of Santee's measure establishing a one cent sales tax be adopted, providing approximately $14,000,000 annually for city services for 10 years, with independent audits, citizens' committee oversight, and all funds locally controlled?"

Revenue from this Measure would be collected in the same manner as existing sales tax at the place of sale, except for vehicle sales, which are taxed based on where the vehicle is registered rather than where it is sold. This prevents competitive disadvantages for local auto dealers. All revenue generated would remain in Santee and could not be diverted by the state or other agencies. As a general tax, funds would be deposited into the City's General Fund under a separate account number for tracking purposes and used for any lawful municipal purpose. Staff recommends a general-purpose sales tax measure to address broad community priorities, including infrastructure, and to maintain a safe and clean community.

Should the City Council decide to refer the Measure to voters, staff will submit the Measure to the San Diego County Taxpayers Association (SDCTA) for consideration for endorsement.

PROCESS

The California Revenue and Taxation Code authorizes the levy of a transactions and use tax (a sales tax or 'district' tax) by any county, city, city and county, or any other governmental agency.

The next step is adoption of a Resolution calling a General Municipal Election to be held on Tuesday, November 3, 2026, and ordering the submission of the sales tax measure to the voters at said election, to consider approval of the Santee One Cent Sales Tax Ordinance. There are two additional largely boilerplate Resolutions (requesting consolidation and setting rules for ballot arguments) that must also be adopted to manage the logistics of the election if it is called. If approved, the Ordinance would establish a transactions and use (sales) tax at the rate of one percent (1%) of the gross receipts of any retailer from the sale of all tangible personal property sold in the City from April 1, 2027, through March 31, 2037.

BALLOT ARGUMENTS

California Elections Code Section 9282 allows the legislative body, any member or members of the legislative body authorized by that body, any individual voter who is eligible to vote on the Measure, or bona fide association of citizens, or any combination of voters and associations, to submit an argument for or against a measure placed on the ballot by the legislative body. Arguments may not exceed 300 words in length and must be submitted to the City Clerk no later than August 13, 2026. The action included in the Resolutions allows the Council to appoint any one or two member(s) to submit arguments in favor of the Measure, on behalf of the City Council. The City Council may consider, as part of the approval of this item, whether to appoint an ad hoc committee to author the argument and possible rebuttal on behalf of the City Council.

In accordance with Elections Code Section 9285, rebuttal arguments may not exceed 250 words and must be submitted to the City Clerk no later than August 18, 2026.

ENVIRONMENTAL REVIEW

The action is not a "Project" as defined under Section 15378 of the California Environmental Quality Act State Guidelines. Therefore, pursuant to State Guidelines Section 15060(c)(3) no environmental review is required. Notwithstanding the foregoing, the action qualifies for an Exemption pursuant to Section 15061(b)(3) of the California Environmental Quality Act State Guidelines.

FINANCIAL STATEMENT EB for HJ

In the City Clerk's budget, there is currently $78,141.25 identified for election costs in the adopted FY 2025-26 Operating Budget which will be carried forward to Fiscal Year 2026-27 to cover the anticipated costs of the election of two members of the City Council. The County of San Diego Registrar of Voters estimates a 5-page measure would cost $50,000.00 - $80,000.00. Based on the County's 5-page estimate, additional appropriation would be required to cover costs associated with the measure. Since the exact amount is currently unknown, staff would bring back an item for appropriation of funds once the election deposit request is received from the County of San Diego.

CITY ATTORNEY REVIEW ☐ N/A • ☒ Completed

RECOMMENDATION WK

Staff recommends the City Council (4/5 vote required):

1. Adopt the Resolution calling for the placement of a General Tax Measure on the ballot for the November 3, 2026, General Municipal Election for the submission to the qualified voters of an Ordinance to enact a general transactions and use tax (sales tax) at the rate of one percent (1%) for ten (10) years; and
2. Adopt the Resolution requesting the Board of Supervisors of the County of San Diego to consolidate a general municipal election to be held on November 3, 2026, with the Statewide General Election to be held on that date pursuant to Section 10403 of the Elections Code; and
3. Adopt the Resolution providing for the filing of direct and rebuttal arguments and setting rules for the filing of written arguments regarding a city measure to be submitted at the November 3, 2026, General Municipal Election.

ATTACHMENT

Draft 10-Year Spending Plan
Resolutions (3)
Ordinance

City of Santee
Project Funding Summary for 1% Sales Tax Measure

Rev: 6/17/2026

Annual Projected Revenues: $ 14,000,000

Project Name	Location	Current Project Cost	Projected Cost at Construction (3% Annual Increase)	FY 2027-28	FY 2028-29	FY 2029-30	FY 2030-31	FY 2031-32	FY 2032-33	FY 2033-34	FY 2034-35	FY 2035-36	FY 2036-37	Total Funding	Programmed Funding Notes
Citywide Pavement Repair and Rehabilitation	Citywide Streets per City's Pavement Management Report and City Council Priority Streets	$ 45,000,000	$ 60,000,000	$ 4,500,000	$ 4,500,000	$ 4,500,000	$ 6,500,000	$ 4,840,000	$ 6,500,000	$ 6,500,000	$ 6,500,000	$ 7,250,000	$ 8,410,000	$ 60,000,000	Funding Met
Fire Station 24 at Woodglen Vista Park	10303 Kerrigan Street	$ 6,000,000	$ 6,000,000	$ 6,000,000										$ 6,000,000	Funding Met
Fire Station 4 Comprehensive Remodel	8950 Cottonwood Avenue	$ 13,000,000	$ 14,750,000	$ 670,000	$ 6,670,000	$ 7,410,000								$ 14,750,000	Funding Met
Fire Station 20 at City Operations Center[1]	9532 Via Zapador	$ 22,750,000	$ 29,450,000								$ 4,510,000	$ 6,475,000	$ 4,715,000	$ 15,700,000	Funding Not Met
Fire Engine Purchase, Station 24[2]	N/A	$ 1,250,000	$ 1,250,000	$ 125,000	$ 125,000	$ 125,000	$ 125,000	$ 125,000	$ 125,000	$ 125,000	$ 125,000	$ 125,000	$ 125,000	$ 1,250,000	Funding Met
Fire Engine Purchase, Station 4[3]	N/A	$ 1,500,000	$ 1,500,000					$ 150,000	$ 150,000	$ 150,000	$ 150,000	$ 150,000	$ 750,000	$ 1,500,000	Funding Met
Bridge Restorations Citywide[4]	Magnolia Avenue Bridge, Mast Boulevard Bridge, Carlton Hills Boulevard Bridge, Cuyamaca Street Bridge, Prospect Avenue Bridges, Mission Gorge Road Bridge, Olive Lane Bridge, Carlton Oaks Bridge	$ 8,325,000	$ 11,400,000	$ 800,000	$ 800,000	$ 800,000	$ 1,380,000	$ 2,070,000	$ 1,040,000	$ 3,735,000	$ 775,000			$ 11,400,000	Funding Met
CMP Storm Drain Replacement Program[5]	Citywide storm drains per CMP Assessment Report dated 2020	$ 16,176,000	$ 21,900,000	$ 1,255,000	$ 1,255,000	$ 515,000	$ 4,695,000	$ 4,815,000	$ 3,935,000	$ 3,490,000	$ 1,940,000			$ 21,900,000	Funding Met
General Park Improvements	Big Rock Park - 8125 Arlette Street[6,7] West Hills Park - 8790 Mast Boulevard[7] Woodglen Vista Park - 10250 Woodglen Vista Drive[6,7] Town Center Community Park East - 550 Park Center Drive[8] Town Center Community Park West - 9409 Cuyamaca Street[8] San Diego River Trail at Walker Preserve[8] Forester Creek Trail (Prospect Avenue to Mission Gorge Road)[8]	$ 7,500,000	$ 7,500,000	$ 650,000	$ 650,000	$ 650,000	$ 1,300,000	$ 2,000,000	$ 2,250,000					$ 7,500,000	Funding Met
	Total	**$ 121,501,000**	**$ 153,750,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 14,000,000**	**$ 140,000,000**	
	Balance			$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -		

Notes:

1) Permanent Fire Station No. 20 will be approximately 50% funded by the end of the 10-year program. City will seek grant funding opportunities as potential alternate funding options.
2) Funding provided over 10-year tax measure.
3) Funding completed in 6-years to ensure loan balance paid at end of 10-year tax measure.
4) Annual appropriation with multiple contracts issued over the 10-year program to complete the bridge maintenance program in accordance to current Caltrans Structures inspection reports.
5) Annual appropriation with multiple contracts issued over the 10-year program to complete the CMP program.
6) Park restroom building replacement.
7) Park playground replacement.
8) Lodge pole fencing replacement with cable rail fencing and miscellaneous trail improvements.

RESOLUTION NO. 2026-____

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SANTEE, CALIFORNIA CALLING FOR THE PLACEMENT OF A GENERAL TAX MEASURE ON THE BALLOT FOR THE NOVEMBER 3, 2026 GENERAL MUNICIPAL ELECTION FOR THE SUBMISSION TO THE QUALIFIED VOTERS OF AN ORDINANCE TO ENACT A GENERAL TRANSACTIONS AND USE TAX (SALES TAX) AT THE RATE OF ONE PERCENT (1%) FOR TEN (10) YEARS

WHEREAS, the City of Santee ("City") is authorized to levy a Transactions and Use Tax ("TUT") for general purposes pursuant to California Revenue and Taxation Code section 7285.9, subject to approval by a majority vote of the electorate pursuant to Article XIIIC, section 2 of the California Constitution ("Proposition 218"); and

WHEREAS, pursuant to California Elections Code section 9222, the City Council has authority to place local measures on the ballot to be considered at a Municipal Election; and

WHEREAS, the City Council would like to submit to the voters at the November 3, 2026 General Municipal Election a measure establishing a general TUT of one percent (1%) on the sale and/or use of all tangible personal property sold at retail in the City for a period of ten (10) years, as more specifically set forth in the attached proposed ordinance adding Chapter 3.36 to Title 3 of the City's Municipal Code; and

WHEREAS, the one percent (1%) TUT is a general tax, the revenue of which will be placed in the City's general fund and will be used to pay for general City services; and

WHEREAS, on November 6, 1996, the voters of the State of California approved Proposition 218, an amendment to the State Constitution which requires that all general taxes which are imposed, extended or increased must be submitted to the electorate and approved by a majority vote of the qualified electors voting in the election; and

WHEREAS, pursuant to Proposition 218 (California Constitution, Article XIIIC, section 2(b)), the general rule is that any local election for the approval of an increase to a general tax must be consolidated with a regularly scheduled general election for members of the governing body of the local government; and

WHEREAS, the next regularly scheduled general election at which City Council members will be elected is November 3, 2026; and

WHEREAS, pursuant to Revenue and Taxation Code section 7285.9, a two-thirds (2/3) vote of all members of the City Council is required to place the Measure on the November 3, 2026 ballot; and

WHEREAS, the ordinance to be considered by the qualified voters and the terms of approval, collection and use of the general TUT are described and provided for in the ordinance/measure attached hereto as Exhibit "A" (the "Measure") and by this reference made an operative part hereof, in accordance with all applicable laws.

NOW, THEREFORE, BE IT RESOLVED BY THE CITY COUNCIL OF THE CITY OF SANTEE:

SECTION 1. Incorporation of Recitals**.** The foregoing recitals are true and correct and are hereby incorporated and made an operative part of this Resolution.

SECTION 2. Submission of Ballot Measure. Pursuant to California Elections Code section 9222, Revenue and Taxation Code section 7285.9 and any other applicable requirements of the laws of the State of California relating to the City, the City Council, **by a two-thirds (2/3) vote of all members**, hereby orders the Measure to be submitted to the voters of the City at the General Municipal Election to be held on **Tuesday, November 3, 2026.**

SECTION 3. The City Council, pursuant to California Elections Code section 9222, hereby orders that the ballot question for the Measure shall be presented and printed upon the ballot submitted to the qualified voters in the manner and form set forth in this Section 3. On the ballot to be submitted to the qualified voters at the General Municipal Election to be held on Tuesday, November 3, 2026, in addition to any other matters required by law, there shall be printed substantially the following ballot question:

"To provide funding for City of Santee services and infrastructure, such as fixing streets and potholes; keeping streets, sidewalks, parks and public facilities safe, clean, and well-maintained; repairing/ replacing aging infrastructure and stormdrains; local traffic management; fire protection, paramedic, crime prevention, and 911 emergency response, shall City of Santee's measure establishing a one cent sales tax be adopted, providing approximately $14,000,000 annually for city services for 10 years, with independent audits, citizens' committee oversight, and all funds locally controlled?"	**YES** **NO**

SECTION 4. Conduct of Election. The City Clerk is authorized, instructed, and directed to procure and furnish any and all official ballots, printed matter and all supplies, equipment and paraphernalia that may be necessary in order to properly and lawfully conduct the election. In all particulars not recited in this Resolution, the election shall be held and conducted as provided by law for holding municipal elections.

SECTION 5. Pursuant to Elections Code section 9280, the City Council hereby directs the City Clerk to transmit a copy of the Measure to the City Attorney. The City Attorney shall prepare an impartial analysis of the Measure, not to exceed 500 words in length, showing the effect of the Measure on the existing law and the operation of the

Measure, and transmit such impartial analysis to the City Clerk. The deadline to submit the impartial analysis pursuant to this Resolution is **Friday, August 14, 2026.**

The impartial analysis shall include a statement indicating whether the Measure was placed on the ballot by a petition signed by the requisite number of voters or by the City Council. In the event the entire text of the Measure is not printed on the ballot, nor in the voter information guide, there shall be printed immediately below the impartial analysis, in no less than 10-font bold type, the following: **"The above statement is an impartial analysis of Ordinance or Measure _____. If you desire a copy of the ordinance or measure, please call the Office of the City Clerk at (619) 258-4100 and a copy will be mailed at no cost to you."**

SECTION 6. Notice of the election is hereby given and the City Clerk is authorized, instructed and directed to give further or additional notice of the election, in time, form and manner as required by law.

SECTION 7. Placement on the Ballot. The full text of the Measure shall not be printed in the voter information guide, and a statement shall be printed on the ballot pursuant to Elections Code section 9223 advising voters that they may obtain a copy of this Resolution and the Measure, at no cost, upon request made to the City Clerk.

SECTION 8. Filing with County. The City Clerk shall, not later than the 88th day prior to the General Municipal Election to be held on Tuesday, November 3, 2026, file with the Board of Supervisors and the Registrar of Voters of the County of San Diego, State of California, a certified copy of this Resolution.

SECTION 9. Public Examination. Pursuant to Elections Code section 9295, this Measure will be available for public examination for no fewer than ten (10) calendar days prior to being submitted for printing in the voter information guide. The City Clerk shall post notice in the Clerk's office of the specific dates that the examination period will run.

SECTION 10. The City Council hereby finds and determines that the Measure relates to organizational or administrative activities of governments that will not result in direct or indirect physical changes in the environment, and therefore is not a project within the meaning of the California Environmental Quality Act ("CEQA") and the State CEQA Guidelines, section 15378(b)(5).

SECTION 11. Severability. The provisions of this Resolution are severable and if any provision of this Resolution is held invalid, that provision shall be severed from the Resolution and the remainder of this Resolution shall continue in full force and effect, and not be affected by such invalidity.

SECTION 12. This Resolution shall become effective upon its adoption.

SECTION 13. The City Clerk shall certify to the adoption of this Resolution.

ADOPTED by the City Council of the City of Santee, California, at a Regular Meeting thereof held this 24th day of June 2026, by the following roll call vote to wit:

AYES:

NOES:

ABSENT:

APPROVED:

JOHN W. MINTO, MAYOR

ATTEST:

JAMES JEFFRIES, CITY CLERK

Attachment: Exhibit "A" – Transactions and Use Tax Ordinance

I, James Jeffries, City Clerk of the City of Santee, do hereby certify that the foregoing resolution is the actual resolution duly and regularly adopted by the City Council at a regular meeting on the ____ day of _____, 2026, by the following vote to wit:

AYES:
NOES:
ABSTAIN:
ABSENT:

_____
James Jeffries, City Clerk

Exhibit “A”
Transactions and Use Tax Ordinance

[attached behind this page]

ORDINANCE NO. ____

AN ORDINANCE OF THE PEOPLE OF THE CITY OF SANTEE, CALIFORNIA, ADDING CHAPTER 3.36 TO TITLE 3 ("REVENUE AND FINANCE") OF THE SANTEE MUNICIPAL CODE TO ENACT A ONE PERCENT (1%) GENERAL TRANSACTIONS AND USE TAX (SALES TAX) FOR TEN (10) YEARS TO BE ADMINISTERED BY THE CALIFORNIA DEPARTMENT OF TAX AND FEE ADMINISTRATION

WHEREAS, pursuant to California Revenue and Taxation Code section 7285.9 the City of Santee ("City") is authorized to levy a Transactions and Use Tax for general purposes, subject to majority voter approval; and

WHEREAS, the People of the City desire add Chapter 3.36 to Title 3 of the Santee Municipal Code establishing a general Transactions and Use Tax ("TUT") for ten (10) years, on the sale and/or use of all tangible personal property sold at retail in the City, at a rate of one percent (1%).

NOW, THEREFORE, THE PEOPLE OF THE CITY OF SANTEE DO HEREBY ORDAIN AS FOLLOWS:

Section 1. Title and Text. This Ordinance shall be known as the "Santee General Transactions and Use Tax", the full text of which is set forth in Attachment "1", attached hereto and incorporated herein by reference.

Section 2. Approval by the City Council. Pursuant to California Government Code section 53724 and Revenue and Taxation Code section 7285.9, this Ordinance was duly approved for placement on the ballot by a minimum two-thirds (2/3) supermajority of all members of the City Council on _____, 2026.

Section 3. Approval by the Voters/Amendment. Pursuant to California Elections Code section 9217, this Ordinance shall be deemed adopted and take effect only if approved by a majority of the eligible voters of the City of Santee voting at the General Municipal Election of November 3, 2026. This Ordinance may be amended only upon approval by the voters, except that the provisions of Section 3.36.140, governing the composition, terms, meetings, and procedures of the Citizens' Oversight Committee may be amended by ordinance of the City Council without voter approval.

Section 4. Operative Date. "Operative Date" for the Transactions and Use Tax means the first day of the first calendar quarter commencing more than 110 days after the date of the election for this Ordinance – April 1, 2027.

Section 5. Severability. If any provision of this Ordinance or the application thereof to any person or circumstance is held invalid, the remainder of the Ordinance and the application of such provision to other persons or circumstances shall not be affected thereby.

I hereby certify that the Santee General Transactions and Use Tax Ordinance was **PASSED, APPROVED, AND ADOPTED** by the People of the City of Santee on the 3rd day of November, 2026.

CITY OF SANTEE:

JOHN W. MINTO, MAYOR

ATTEST:

JAMES JEFFRIES, CITY CLERK

APPROVED AS TO FORM:

SHAWN HAGERTY, CITY ATTORNEY

Attachment “1”: “Santee General Transactions and Use Tax”

Chapter 3.36 – GENERAL TRANSACTIONS AND USE TAX

Sections:

3.36.010 - Title.
3.36.020 - Purpose.
3.36.030 - Contract With State.
3.36.040 - Transactions Tax Rate.
3.36.050 - Place of Sale.
3.36.060 - Use Tax Rate.
3.36.070 - Adoption of Provisions of State Law.
3.36.080 - Limitations on Adoption of State Law and Collection of Use Taxes.
3.36.090 - Permit Not Required.
3.36.100 - Exemptions and Exclusions.
3.36.110 - Amendments.
3.36.120 - Enjoining Collection Forbidden.
3.36.130 - Duration of Tax
3.36.140 - Citizens' Oversight Committee

Sections:

3.36.010 – Title.

This ordinance shall be known as the "City of Santee General Transactions and Use Tax Ordinance". The City of Santee hereinafter shall be called "City." This ordinance shall be applicable in the incorporated territory of the City.

3.36.020 – Purpose.

This ordinance is adopted to achieve the following, among other purposes, and directs that the provisions hereof be interpreted in order to accomplish those purposes:

A. To impose a retail transactions and use tax in accordance with the provisions of Part 1.6 (commencing with Section 7251) of Division 2 of the Revenue and Taxation Code and Section 7285.9 of Part 1.7 of Division 2 which authorizes the City to adopt this tax ordinance which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose.

B. To adopt a retail transactions and use tax ordinance that incorporates provisions identical to those of the Sales and Use Tax Law of the State of California insofar as those provisions are not inconsistent with the requirements and limitations contained in Part 1.6 of Division 2 of the Revenue and Taxation Code.

C. To adopt a retail transactions and use tax ordinance that imposes a tax and provides a measure therefore that can be administered and collected by the California Department of Tax and Fee Administration in a manner that adapts itself as fully as practicable to, and requires the least possible deviation from, the existing statutory and administrative procedures followed by the California Department of Tax and Fee

Administration in administering and collecting the California State Sales and Use Taxes.

D. To adopt a retail transactions and use tax ordinance that can be administered in a manner that will be, to the greatest degree possible, consistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, minimize the cost of collecting the transactions and use taxes, and at the same time, minimize the burden of record-keeping upon persons subject to taxation under the provisions of this ordinance.

3.36.030 - Contract With State.

Prior to the operative date, the City shall contract with the California Department of Tax and Fee Administration to perform all functions incident to the administration and operation of this transactions and use tax ordinance; provided, that if the City shall not have contracted with the California Department of Tax and Fee Administration prior to the operative date, it shall nevertheless so contract and in such a case the operative date shall be the first day of the first calendar quarter following the execution of such a contract.

3.36.040 - Transactions Tax Rate.

For the privilege of selling tangible personal property at retail, a tax is hereby imposed upon all retailers in the incorporated territory of the City at the rate of one percent (1%) of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in said territory on and after the operative date of this ordinance.

3.36.050 - Place of Sale.

For the purposes of this ordinance, all retail sales are consummated at the place of business of the retailer unless the tangible personal property sold is delivered by the retailer or his agent to an out-of-state destination or to a common carrier for delivery to an out-of-state destination. The gross receipts from such sales shall include delivery charges, when such charges are subject to the state sales and use tax, regardless of the place to which delivery is made. In the event a retailer has no permanent place of business in the State or has more than one place of business, the place or places at which the retail sales are consummated shall be determined under rules and regulations to be prescribed and adopted by the California Department of Tax and Fee Administration.

3.36.060 - Use Tax Rate.

An excise tax is hereby imposed on the storage, use or other consumption in the City of tangible personal property purchased from any retailer on and after the operative date of this ordinance for storage, use or other consumption in said territory at the rate of one percent (1%) of the sales price of the property. The sales price shall include delivery charges when such charges are subject to state sales or use tax regardless of the place to which delivery is made.

3.36.070 - Adoption of Provisions of State Law.

Except as otherwise provided in this ordinance and except insofar as they are inconsistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, all of the provisions of Part 1 (commencing with Section 6001) of Division 2 of the Revenue and Taxation Code are hereby adopted and made a part of this ordinance as though fully set forth herein.

3.36.080 - Limitations on Adoption of State Law and Collection of Use Taxes.

In adopting the provisions of Part 1 of Division 2 of the Revenue and Taxation Code:

A. Wherever the State of California is named or referred to as the taxing agency, the name of this City shall be substituted therefor. However, the substitution shall not be made when:

    1. The word “State” is used as a part of the title of the State Controller, State Treasurer, California Victim Compensation Board, California Department of Tax and Fee Administration, State Treasury, or the Constitution of the State of California;

    2. The result of that substitution would require action to be taken by or against this City or any agency, officer, or employee thereof rather than by or against the California Department of Tax and Fee Administration, in performing the functions incident to the administration or operation of this Ordinance.

    3. In those sections, including, but not necessarily limited to sections referring to the exterior boundaries of the State of California, where the result of the substitution would be to:

        a. Provide an exemption from this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not otherwise be exempt from this tax while such sales, storage, use or other consumption remain subject to tax by the State under the provisions of Part 1 of Division 2 of the Revenue and Taxation Code, or;

        b. Impose this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not be subject to tax by the state under the said provision of that code.

    4. In reference to Sections 6701, 6702 (except in the last sentence thereof), 6711, 6715, 6737, 6797 or 6828 of the Revenue and Taxation Code.

B. The word “city” shall be substituted for the word “state” in the phrase “retailer engaged in business in this state” in Section 6203 of the Revenue and Taxation Code and in the definition of that phrase in Section 6203.

1. “A retailer engaged in business in the City” shall also include any retailer that, in the preceding calendar year or the current calendar year, has total combined sales of tangible personal property in this state or for delivery in the State by the retailer and all persons related to the retailer that exceeds five hundred thousand dollars ($500,000). For purposes of this section, a person is related to another person if both persons are related to each other pursuant to Section 267(b) of Title 26 of the United States Code and the regulations thereunder.

3.36.090 - Permit not Required.

If a seller’s permit has been issued to a retailer under Section 6067 of the Revenue and Taxation Code, an additional transactor’s permit shall not be required by this Ordinance.

3.36.100 - Exemptions and Exclusions.

A. There shall be excluded from the measure of the transactions tax and the use tax the amount of any sales tax or use tax imposed by the State of California or by any city, city and county, or county pursuant to the Bradley-Burns Uniform Local Sales and Use Tax Law or the amount of any state-administered transactions or use tax.

B. There are exempted from the computation of the amount of transactions tax the gross receipts from:

1. Sales of tangible personal property, other than fuel or petroleum products, to operators of aircraft to be used or consumed principally outside the county in which the sale is made and directly and exclusively in the use of such aircraft as common carriers of persons or property under the authority of the laws of this State, the United States, or any foreign government.

2. Sales of property to be used outside the City which is shipped to a point outside the City, pursuant to the contract of sale, by delivery to such point by the retailer or his agent, or by delivery by the retailer to a carrier for shipment to a consignee at such point. For the purposes of this paragraph, delivery to a point outside the City shall be satisfied:

    a. With respect to vehicles (other than commercial vehicles) subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, and undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code by registration to an out-of-City address and by a declaration under penalty of perjury, signed by the buyer, stating that such address is, in fact, his or her principal place of residence; and

    b. With respect to commercial vehicles, by registration to a place of business out-of-City and declaration under penalty of perjury, signed by the buyer, that the vehicle will be operated from that address.

3. The sale of tangible personal property if the seller is obligated to furnish the property for a fixed price pursuant to a contract entered into prior to the operative date of this ordinance.

4. A lease of tangible personal property which is a continuing sale of such property, for any period of time for which the lessor is obligated to lease the property for an amount fixed by the lease prior to the operative date of this ordinance.

5. For the purposes of subparagraphs (3) and (4) of this subsection, the sale or lease of tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

C. There are exempted from the use tax imposed by this ordinance, the storage, use or other consumption in this City of tangible personal property:

1. The gross receipts from the sale of which have been subject to a transactions tax under any state-administered transactions and use tax ordinance.

2. Other than fuel or petroleum products purchased by operators of aircraft and used or consumed by such operators directly and exclusively in the use of such aircraft as common carriers of persons or property for hire or compensation under a certificate of public convenience and necessity issued pursuant to the laws of this State, the United States, or any foreign government. This exemption is in addition to the exemptions provided in Sections 6366 and 6366.1 of the Revenue and Taxation Code of the State of California.

3. If the purchaser is obligated to purchase the property for a fixed price pursuant to a contract entered into prior to the operative date of this Ordinance.

4. If the possession of, or the exercise of any right or power over, the tangible personal property arises under a lease which is a continuing purchase of such property for any period of time for which the lessee is obligated to lease the property for an amount fixed by a lease prior to the operative date of this Ordinance.

5. For the purposes of subparagraphs (3) and (4) of this subsection, storage, use, or other consumption, or possession of, or exercise of any right or power over, tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

6. Except as provided in subparagraph (7), a retailer engaged in business in the City shall not be required to collect use tax from the purchaser of tangible personal property, unless the retailer ships or delivers the property into the City or participates within the City in making the sale of the property, including, but not

limited to, soliciting or receiving the order, either directly or indirectly, at a place of business of the retailer in the City or through any representative, agent, canvasser, solicitor, subsidiary, or person in the City under the authority of the retailer.

7. "A retailer engaged in business in the City" shall also include any retailer of any of the following: vehicles subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, or undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code. That retailer shall be required to collect use tax from any purchaser who registers or licenses the vehicle, vessel, or aircraft at an address in the City.

D. Any person subject to use tax under this ordinance may credit against that tax any transactions tax or reimbursement for transactions tax paid to a district imposing, or retailer liable for, a transactions tax pursuant to Part 1.6 of Division 2 of the Revenue and Taxation Code with respect to the sale to the person of the property the storage, use or other consumption of which is subject to the use tax.

3.36.110 - Amendments.

All amendments subsequent to the effective date of this ordinance to Part 1 of Division 2 of the Revenue and Taxation Code relating to sales and use taxes and which are not inconsistent with Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, and all amendments to Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, shall automatically become a part of this Ordinance, provided however, that no such amendment shall operate so as to affect the rate of tax imposed by this Ordinance.

3.36.120 - Enjoining Collection Forbidden.

No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding in any court against the State or the City, or against any officer of the State or the City, to prevent or enjoin the collection under this ordinance, or Part 1.6 of Division 2 of the Revenue and Taxation Code, of any tax or any amount of tax required to be collected.

3.36.130 – Duration of Tax.

The authority to levy the tax imposed by this chapter shall expire ten years from the operative date of the tax enacted and codified in this chapter – March 31, 2037.

3.36.140 – Citizens' Oversight Committee.

A. Establishment and Purpose. There is established a Citizens' Oversight Committee (the "Committee") to review expenditures of revenue generated by this Ordinance and to report publicly to the City Council. The Committee is advisory. It may not direct expenditures, manage staff, or exercise budgeting authority reserved to the

City Council. Its purpose is to provide independent public review of how revenue under this Ordinance is spent and to inform the public and the City Council through an annual report.

B. Composition.

1. The Committee shall consist of five members who are residents of, or own real property or operate a business within, the City of Santee.

2. In making appointments, the City Council shall endeavor to seek members with background in one or more of the following: municipal or public finance, accounting or auditing, public works or construction, or project management. To the extent qualified resident applicants are available, the Council should seek a range of these backgrounds.

3. No member of the Committee may be a current City of Santee officer or employee.

C. Appointment. Members shall be appointed by the City Council through the City's standard process for appointive boards and commissions, including public solicitation of applications. Vacancies shall be filled by the City Council for the remainder of the unexpired term through the same process used for appointment.

1. Members appointed to the Committee shall complete SB 827 Fiscal and Financial Training in a manner similar to other City officials.

D. Term Limits.

1. Members shall serve four-year terms, except that of the initial members, the City Council shall designate two members to serve an initial two-year term so that terms are staggered and no more than a majority of seats regularly turn over in any two-year cycle.

2. A member shall serve no more than two full consecutive terms, after which he or she shall cease serving on the Committee for at least two years. A partial term of less than two years does not count toward this limit.

E. Meetings. The Committee shall comply with the Ralph M. Brown Act. Meetings shall be open to the public, agendized in advance according to the Brown Act, and held at least annually. City staff shall provide reasonable administrative support to the Committee.

F. Responsibilities. The Committee shall:

1. Review a proposed annual spending plan ("Plan"), which shall be prepared by City Staff and presented to the Committee for its review. The Plan shall identify City of Santee improvements, projects, programs, services proposed to be funded in the next Fiscal Year's budget, in whole or in part, with revenue

generated from this Ordinance. The Plan shall be presented to the Committee prior to the City Council's annual budget process. After Committee review, it may make recommendations about the Plan to the City Council. The Plan, along with any recommendations of the Committee, shall be incorporated into the City Manager's proposed Fiscal Year budget, which shall be subject to approval each year by the City Council.

2. Review the City's annual independent financial audit and any staff reports identifying revenue received from this tax and expenditures made from this tax during the prior fiscal year.

3. Review expenditures for consistency with terms of this Ordinance.

4. Prepare an annual report presenting its review and any findings or recommendations. The report shall be presented to the City Council at an agendized regular or special meeting in open session and shall be made available to the public.

5. If the Committee identifies a concern regarding the use of revenue under this Ordinance, it shall state the concern in its annual report or in a separate written report to the City Council. The City Council shall place the matter on an agendized regular or special meeting and respond on the record within sixty days of receiving the report.

RESOLUTION 2026-____

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SANTEE, CALIFORNIA, REQUESTING THE BOARD OF SUPERVISORS OF THE COUNTY OF SAN DIEGO TO CONSOLIDATE A GENERAL MUNICIPAL ELECTION TO BE HELD ON NOVEMBER 3, 2026 WITH THE STATEWIDE GENERAL ELECTION TO BE HELD ON THAT DATE PURSUANT TO §10403 OF THE ELECTIONS CODE

WHEREAS, on _____, 2026, the City Council of the City of Santee adopted Resolution No. 2026-____, calling a General Municipal Election to be held on November 3, 2026; for the purpose of submitting to the voters the question relating to the General Transactions and Use Tax; and

WHEREAS, it is therefore desirable that the General Municipal Election be consolidated with the Statewide General Election to be held on the same date and that within the City the precincts, polling places and election officers of the two elections be the same, and that the election department of the County of San Diego canvass the returns of the General Municipal Election and that the election be held in all respects as if there were only one election.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF SANTEE DOES RESOLVE, DECLARE, DETERMINE AND ORDER AS FOLLOWS:

Section 1. Request for Consolidation. Pursuant to the requirements of §10403 of the Elections Code, the Board of Supervisors of the County of San Diego is hereby requested to consent and agree to the consolidation of a General Municipal Election with the Statewide General Election on Tuesday, November 3, 2026, for the purpose of submitting to the voters the following question relating to the Transactions and Use Tax.

Section 2. Measure Language. A measure is to appear on the ballot as follows:

"To provide funding for City of Santee services and infrastructure, such as fixing streets and potholes; keeping streets, sidewalks, parks and public facilities safe, clean, and well-maintained; repairing/ replacing aging infrastructure and stormdrains; local traffic management; fire protection, paramedic, crime prevention, and 911 emergency response, shall City of Santee's measure establishing a one cent sales tax be adopted, providing approximately $14,000,000 annually for city services for 10 years, with independent audits, citizens' committee oversight, and all funds locally controlled?"	Yes
	No

Section 3. Canvass of Returns. The County election department is authorized to canvass the returns and perform all other proceedings incidental to and connected with the General Municipal Election. The Election shall be held in all respects as if there were only one election, and only one form of ballot shall be used. Pursuant to California Elections Code Sections 10403 and 10418, the election will be held and conducted in accordance with the provisions of law regulating the Statewide General Election.

Section 4. Necessary Steps. The Board of Supervisors is requested to issue instructions to the County election department to take any and all steps necessary for the holding of the consolidated election.

Section 5. Costs. The City Council determines and declares that the City will pay to the County the reasonable and actual expenses incurred by the County by the consolidation of the General Municipal Election with the Statewide General Election. The City shall reimburse the County for services performed when the work is completed and upon presentation to the City of a properly approved bill. The City Manager of the City of Santee is authorized and directed to pay for the expenses incurred after receiving a statement from the County of San Diego.

Section 6. Filing of Resolution. The City Clerk is hereby directed to file a certified copy of this resolution with the Board of Supervisors and the election department of the County of San Diego.

Section 7. Certification. The City Clerk shall certify to the passage and adoption of this Resolution and enter it into the book of original Resolutions.

ADOPTED by the City Council of the City of Santee, California, at a Regular Meeting thereof held this 24th day of June 2026, by the following roll call vote to wit:

AYES:

NOES:

ABSENT:

APPROVED:

JOHN W. MINTO, MAYOR

ATTEST:

JAMES JEFFRIES, CITY CLERK

I, James Jeffries, City Clerk of the City of Santee, do hereby certify that the foregoing resolution is the actual resolution duly and regularly adopted by the City Council at a regular meeting on the ____ day of _____, 2026, by the following vote to wit:

AYES:
NOES:
ABSTAIN:
ABSENT:

_____
James Jeffries, City Clerk

RESOLUTION NO. 2026-_____

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF SANTEE, CALIFORNIA, PROVIDING FOR THE FILING OF DIRECT AND REBUTTAL ARGUMENTS AND SETTING RULES FOR THE FILING OF WRITTEN ARGUMENTS REGARDING A CITY MEASURE TO BE SUBMITTED AT THE NOVEMBER 3, 2026 GENERAL MUNICIPAL ELECTION

WHEREAS, a General Municipal Election is to be held in the City of Santee, California on November 3, 2026, at which there will be submitted to the voters the following measure:

"To provide funding for City of Santee services and infrastructure, such as fixing streets and potholes; keeping streets, sidewalks, parks and public facilities safe, clean, and well-maintained; repairing/ replacing aging infrastructure and stormdrains; local traffic management; fire protection, paramedic, crime prevention, and 911 emergency response, shall City of Santee's measure establishing a one cent sales tax be adopted, providing approximately $14,000,000 annually for city services for 10 years, with independent audits, citizens' committee oversight, and all funds locally controlled?"	Yes No

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF SANTEE, CALIFORNIA, DOES RESOLVE, DECLARE, DETERMINE AND ORDER AS FOLLOWS:

Section 1. Direct Arguments. That the City Council authorizes (i) the City Council or any member(s) of the City Council, (ii) any individual voter eligible to vote on the above measure, (iii) a bona fide association of such citizens or (iv) any combination of voters and associations, to file a written argument in favor of or against the City measure, accompanied by the printed name(s) and signature(s) of the author(s) submitting it, in accordance with Article 4, Chapter 3, Division 9 of the Elections Code of the State of California, and to change the argument until and including the date fixed below by the City Clerk, after which no arguments for or against the City measure may be submitted to the City Clerk.

The deadline to submit direct arguments for or against the City Measure pursuant to this Resolution is **Thursday, August 13, 2026.** Each argument shall not exceed 300 words and shall be filed with the City Clerk, signed, and include the printed name(s) and signature(s) of the author(s) submitting it, or if submitted on behalf of an organization, the name of the organization, and the printed name and signature of at least one of its principal officers who is the author of the argument.

Section 2. Rebuttal Arguments. Pursuant to Section 9285 of the Elections Code of the State of California, when the City Clerk has selected the primary arguments for and against the City Measure which will be printed and distributed to the voters, the Clerk shall send copies of the primary argument in favor of the Measure to the authors of the primary argument against, and copies of the primary argument against to the authors of the primary argument in favor. The authors or persons designated by them may prepare and submit rebuttal arguments not exceeding 250 words. The rebuttal arguments shall be filed with the City Clerk not later than **Tuesday, August 18, 2026.** Rebuttal arguments shall be printed in the same manner as the direct arguments. Each rebuttal argument shall immediately follow the direct argument which it seeks to rebut.

Section 3. November 3, 2026 Election. That the provisions of Sections 1 and 2 shall apply only to the election to be held on November 3, 2026, and shall then be repealed.

Section 4. Certification. The City Clerk shall certify to the passage and adoption of this resolution and enter it into the book of original Resolutions.

ADOPTED by the City Council of the City of Santee, California, at a Regular Meeting thereof held this 24th day of June 2026, by the following roll call vote to wit:

AYES:

NOES:

ABSENT:

APPROVED:

JOHN W. MINTO, MAYOR

ATTEST:

JAMES JEFFRIES, CITY CLERK

I, HEREBY CERTIFY that the foregoing resolution was duly adopted by the City Council of the City of Santee at a regular meeting thereof held on _____, 2026 by the following vote of the Council:

AYES:
NOES:
ABSTAIN:
ABSENT:

_____
James Jeffries
City Clerk